One of the major foreign policy initiatives of the Rao government was its ‘Look East’ policy, an acknowledgement of the economic success of Japan, Korea and other East Asian countries. Rao professed that India needed to look not just towards the developed countries of the West but also needed to learn from its eastern neighbours while deepening economic and security ties with them. Until then India’s relations with East Asia had been largely political, based on Nehru’s vision of Asian brotherhood and shared history.

Even after East Asia’s economic boom in the 1980s, there had been no real attempt to bolster those ties with a different emphasis. India had even turned down an offer of membership in ASEAN at the time it was formed, a mistake in view of the grouping’s later success. Rao understood that there was little he could achieve with India’s immediate neighbours, especially Pakistan, which had stepped up support for Islamist militants in Jammu and Kashmir. Sri Lanka was in turmoil with its escalating civil war while Nepal and Bangladesh faced internal crises. In such an environment, Rao decided to build a legacy by expanding India’s ties with South-East Asia while adjusting to the new American-led world order in which Russia had a diminished presence compared to the one in past.

In addition to enhancing relations with bourgeoning economic powers of East Asia, Rao’s government also boosted India’s ties with the Arab countries of the Gulf that had been annoyed by the V.P. Singh government’s attitude during the war over Kuwait. India’s existing cultural and economic ties with the Gulf and the presence of a large Indian diaspora worked to India’s advantage. Rao sought to secure energy supplies from the Gulf region, given the increasing energy needs of India’s growing economy. He also sought to ensure that the Arab Gulf countries would continue to be an avenue for employment for India’s large working-age population. Rao’s big idea in India’s external relations was to weave in economic needs into foreign policy priorities.